

Member ID: _____

Time: _____

Rank: _____



BANKING & FINANCE (145)

NATIONAL 2025

Multiple Choice: (30 @ 2 points each)	_____ (60 points)
Financial Word Problems: (8 @ 3 points each)	_____ (24 points)
Rule of 72: (5 @ 2 points each)	_____ (10 points)
Compound Interest: (12 @ 2 points each)	_____ (24 points)
Checkbook Register: (61 @ 1 point each, 1 @ 5 points)	_____ (66 points)
<i>TOTAL POINTS</i>	_____ (<i>184 points</i>)

Test Time: 60 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

The test is divided into two parts, and you **MUST** complete both parts. You will have 60 minutes to complete your work.

PART ONE Instructions: Concept Knowledge

1. Open Google Chrome and navigate to complete.bpa.org.
2. Click on the Secondary Division Competitions button.
3. Enter your BPA Member ID (8-digits) and Password to access your test questions.
4. Answer all questions and submit your test.
5. Move on to Part Two.

PART TWO: Application Knowledge

Complete the questions in the rest of this test booklet by filling in the PDF.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 60 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations to two decimals at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

Multiple Choice Questions

Directions: Identify the letter of the choice that best completes the statement or answers the question.

1. The Civil War in America brought monetary issues to a crisis point because _____.
 - A. state banks began to lose influence
 - B. rampant inflation threatened the entire economic system
 - C. the counterfeiting of money became widespread
 - D. all of the choices
2. What causes stagflation?
 - A. a stagnant economy
 - B. high inflation
 - C. high unemployment
 - D. all of the choices
3. Which of the following statements about banks is not *true*?
 - A. Banks distribute the medium of exchange.
 - B. All banks are organized as corporations.
 - C. Banks may be chartered by either federal or state governments.
 - D. Banks are essential to maintaining the economy.
4. Check 21 allows _____.
 - A. anyone over the age of 21 to obtain a credit card
 - B. a discount on account servicing fees if more than 21 checks are written in a month
 - C. funds to remain in an account until 21 days after the check is written
 - D. paper checks to be processed electronically
5. Which of the following elements of the money supply, as defined by the Federal Reserve, can be spent immediately?
 - A. M1
 - B. M2
 - C. reserves
 - D. MZM
6. Which of the following is *not* considered a factor in money creation?
 - A. the Federal Reserve's supply and control of money
 - B. banks' use of money
 - C. the demand for money
 - D. the printing of currency by the Bureau of Engraving and Printing
7. Which of the following is *not* part of the on-going organizational structure of the Federal Reserve?
 - A. Primary Dealer Credit Facility
 - B. District Reserve Banks
 - C. Member Banks
 - D. Board of Governors

8. Which of the following governing documents list interest rates in effect at the time for various types of accounts?
- A. disclosure statements
 - B. account rules
 - C. deposit rate schedules
 - D. fee schedules
9. Which of the following shows the steps of the credit-approval process in proper order?
- A. underwriting, application, documentation, processing, closing, funding
 - B. documentation, application, underwriting, closing, processing, funding
 - C. application, processing, documentation, underwriting, closing, funding
 - D. application, documentation, processing, underwriting, closing, funding
10. Which of the following elements of the FICO credit-scoring system carries the most weight?
- A. types of credit
 - B. payment history
 - C. length of credit history
 - D. new credit
11. Documentation of most credit problems stays in a consumer's file for at least _____.
- A. one year
 - B. three years
 - C. seven years
 - D. eleven years
12. Money you have available to spend after taxes and other deductions is called _____.
- A. gross pay
 - B. regular pay
 - C. disposable income
 - D. taxable income
13. Which of the following is *not* an example of a long-term investing technique?
- A. buy and hold
 - B. dollar-cost averaging
 - C. direct investment
 - D. short selling
14. Stocks of well-known companies are classified as _____ stocks.
- A. blue chip
 - B. growth
 - C. cyclical
 - D. defensive

15. When a bond sells for more than face value, it is called a _____.
A. discount
B. premium
C. convertible bond
D. revenue bond
16. A retirement plan available to self-employed individuals is a(n) _____.
A. IRA plan
B. Keogh plan
C. 403 (b) plan
D. public account plan
17. What legislation requires creditors to resolve billing errors within a specified period of time?
A. Fair Credit Reporting Act
B. Equal Credit Opportunity Act
C. Fair Credit Billing Act
D. Fair Debt Collection Act
18. Willful failure to pay taxes is called _____.
A. tax reduction
B. tax avoidance
C. tax evasion
D. voluntary compliance
19. Which of the following acts gave us the minimum wage?
A. Social Security Act
B. Fair Labor Standard Act
C. Taft-Hartley Act
D. Fair Credit Reporting Act
20. Time deposits include all of the following *except* _____?
A. certificate of deposit
B. savings account requiring withdrawal notice
C. money market deposit account
D. checking account
21. A point is a value equal to _____ of a mortgage loan.
A. 1 percent
B. 2 percent
C. 5 percent
D. 10 percent
22. A legal claim a lender has on property to secure a debt is called _____.
A. a lien
B. garnishment
C. collateral
D. security

23. What Federal Reserve regulation requires banks to maintain adequate reserves for the fund they have on deposit?
- A. Regulation C
 - B. Regulation CC
 - C. Regulation D
 - D. Regulation DD
24. Which of the following largely eliminated the wide variation of legal regulation from the country's payments system?
- A. Federal Reserve Act of 1913
 - B. Uniform Commercial Code of 1958
 - C. National Banking Act of 1864
 - D. Expedited Funds Availability Act of 1987
25. This finance charge method takes the total finance charge, divides it by the number of months in the loan term and assigns a higher ratio of interest to the early payments.
- A. previous balance method
 - B. average daily balance method
 - C. sum-of-digits method
 - D. adjusted balance method
26. The concept that the borrowers who are most willing to accept a high interest rate are the same borrowers who are most likely to default on their loans is called _____.
- A. moral hazard
 - B. captive borrowers
 - C. asset transformation
 - D. adverse selection
27. The risk that a bank will have to sell its assets at a loss to meet its cash demands is called _____.
- A. liquidity risk
 - B. credit risk
 - C. market risk
 - D. security risk
28. The tax a person pays at the time he or she buys a new vehicle is a(n) _____.
- A. income tax
 - B. excise tax
 - C. estate tax
 - D. gift tax
29. What court deals with legal disputes that involve dollar amounts below a certain limit, which varies from state-to-state?
- A. district court
 - B. superior court
 - C. small claims court
 - D. Small Business Administration

30. If there is too much money moving in the economy, _____.
A. unemployment will rise
B. prices may rise, causing inflation
C. prices will fall, causing widespread business failure
D. excise tax would rise

FINANCIAL WORD PROBLEMS

Directions: Solve the following problems and write your answer in the blank provided.

1. _____ The escrow department at Statton Bank collects funds from buyers of property and transfers it to sellers. It charges a \$75 set up fee for each account. There is also a \$2.75 per month fee for each collection. It charges sellers \$1.50 each time it sends out a notice of late payment after the third such notice on any one account. What are the total fees collected by the bank on a property sale involving escrow collection of \$220 a month for six years with two late notices?
2. _____ Your brother signed a contract to buy roofing for \$10,000. The terms involved paying for the purchase over three years at 10.75% interest. His monthly payment will be \$370. What is his cost of credit?
3. _____ What is the interest on a loan of \$10,000 for 60 days at 12%. Assume a banker's year and payment on the due date.
4. _____ You sold a lot to Amber for \$40,000. She made a down payment of \$5,000 and financed the rest with terms including a ten-year payment period and interest at an annual percentage rate of 8.14%. The monthly payment amount for this loan is 11.792 for each \$1000 of principal financed. How much does Amber pay you each month?
5. _____ Your uncle bought 1,500 shares of stock for \$31.27 per share. The commission on the stock was \$29.15 for the first one thousand shares and \$18.27 for every hundred shares in excess of a thousand. What is the total amount paid for the stock shares?
6. _____ Andy and Melissa borrowed \$3,500 from their bank on March 17. They signed a 9.5%, add-on interest note due 120 days from the loan date. On what date is the note due?
7. _____ Seth and Sonya bought a home, financed with a 20% down payment and a 30-year 6.75% fixed-rate mortgage for \$142,000. What was the purchase price of their home?

8. _____ Hailey's savings account pays simple interest. She started with a deposit of \$1,000. At the end of one year, she had earned \$50 in interest. What is the interest rate on Hailey's account?

Rule of 72

Using the Rule of 72, calculate how long each of the following investments will take to double in value. Round your answers to the nearest tenth of a year. Write your answers in the blank cells provided.

INVESTMENT	RATE OF RETURN	YEARS TO DOUBLE
CD	3%	
US Treasury Note	2.66%	
Common Stock	10%	
Money Market	1.70%	
Preferred Stock	6%	

Compound Interest

Jim is going to deposit \$8000 in a CD for four years. He will be earning 2% for four years compounded annually. Show Jim how much money he will have at the end of each year and total interest earned for that year. Round to the nearest cent. Put your answers in the cells provided.

YEAR	Beginning Balance	Interest	Ending Balance
YEAR 1			
YEAR 2			
YEAR 3			
YEAR 4			

CHECK REGISTER:

Using the following information, complete the check register below. Write neatly and clearly. **All entries must be arranged by date.** The beginning balance was \$3,182.70.

Checks written:

Check #2001 was written for \$580.00 to Commerce Insurance on 3/1 to pay for car insurance.

Check#2003 was written for \$256.00 to CVS Pharmacy on 3/4 to pay for prescriptions.

Check#2004 was written for \$112.00 to Gas, Inc. on 3/7 to pay the heating bill.

ATM transactions: CODE--ATM

Withdrew \$180.00 on 3/3.

Made a deposit of \$425.00 on 3/12.

Debit Card transactions: CODE--DC

Card was used to pay for a movie at What's Showing, \$40.00, on 3/6.

Card was used to pay for gas at Sheetz's, \$60.00, on 3/13.

Card was used to buy a video game at Game Stop, \$36.00, on 3/16.

Card was used to pay for concert tickets at TicketMaster, \$120.00, on 3/18.

Online banking: CODE--EFT

Directed bank to electronically send a payment to the electric company for \$189.00 on 3/8.

Directed bank to electronically transfer \$400.00 from the checking account to a savings account on 3/14.

Other activity:

A service charge of \$5.00 was automatically deducted from the account by the bank on 3/19.

No. or Code	Date	Transaction Description	Payment, Fee, Withdrawal	✓	Deposit/Credit	Balance